

Q1 2025

Custom Managed Portfolios

Aviso 5-year Bond Ladder (Income)

Quick facts

Asset class:

Canadian Bonds

Management style:

Income¹

Number of holdings:

10

Portfolio manager:

Aviso Wealth

Minimum investment:

\$100,000

Inception Date:

November 01, 2023



What does the strategy invest in?

This strategy will invest in high quality bonds, with a focus on capital preservation. The portfolio will consist of ten bonds, diversified across Federal, Provincial, and Corporate segments of the Canadian bond market, with a systematic maturity profile on an approximate six month rolling ladder. As holdings mature, the proceeds are reinvested into longer duration assets.

Bond ladders are a proven fixed income investment strategy that can reduce the impact of interest rate changes and minimize reinvestment risk to support a more predictable portfolio return profile. When interest rates rise, investors can take advantage of the higher rate by reinvesting the proceeds of the last matured bond. On the other hand, should rates fall, a large portion of the portfolio can still benefit from the original (higher) rates that applied when the initial investment was made. Staying disciplined and reinvesting the proceeds from maturing bonds can help investors to ride out interest rate fluctuations.

The **Income** bond ladder strategy will optimize income generation by prioritizing investments in bond issues that are trading close to, at, or ideally above par value where possible. This will provide investors with a more material income stream reflected through higher coupon payments. This strategy is better suited towards registered accounts as coupon payments are fully taxable.

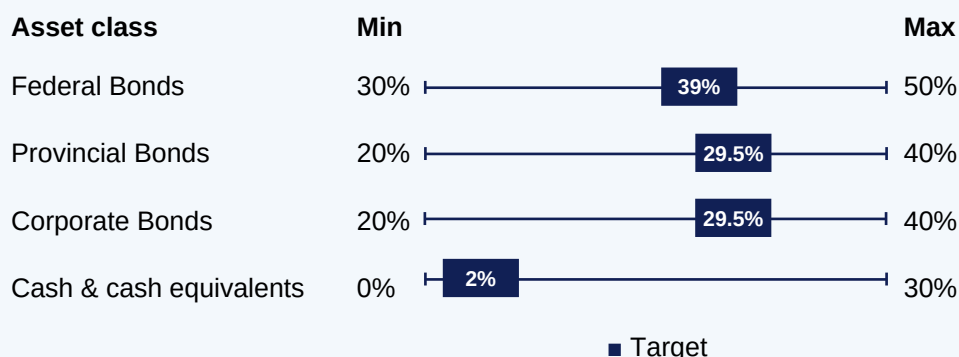
Current holdings

1.	CIBC DP NT 3.3% 26MAY2025	9.8%	6.	CDA HSG TR 3.6% 15DEC2027	9.8%
2.	CDA GOVT 4.5% 01NOV2025	9.8%	7.	CDA HSG TR 3.95% 15JUN2028	9.8%
3.	ONT PROV 8% 02JUN26	9.8%	8.	TD BK 4.68% 08JAN2029	9.8%
4.	RBC 5.235% 02NOV26	9.8%	9.	CDA GOVT 5.75% 01JUN29	9.8%
5.	ONT PROV 7.6% 02JUN27	9.8%	10.	QUE PROV 6% 01OCT29	9.8%

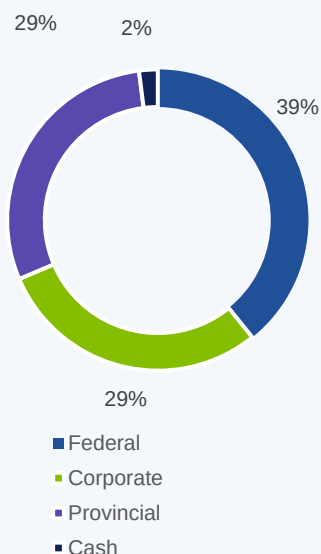
Portfolio attributes

Average yield to maturity (YTM)	Maturity weighted YTM	Average Current Yield (CY)	Maturity weighted CY	Average credit rating	Modified duration
2.7%	2.8%	4.9%	4.9%	AA	2.20

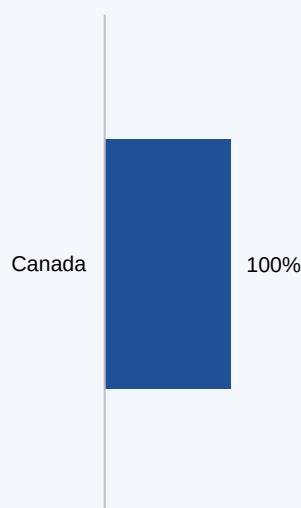
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Equities

North American Markets

Canadian equities delivered modest gains in Q1. The resource-heavy Canadian market benefited from strength in mining and energy shares, with soaring gold prices boosting Canada's large gold miners. Canadian financials faced a mixed environment; slightly lower bond yields in Canada helped ease pressure on lenders, but concerns about a slowing global economy kept gains modest. Overall, Canada's equity market performance positioned between the U.S. and overseas markets – reflecting its blend of sectors. With significant commodities exposure, the TSX proved relatively resilient when trade fears affected U.S. tech stocks.

U.S. equities declined during the first quarter as high-growth technology stocks reversed their prior gains. The market was pressured by renewed trade-war uncertainty and persistent inflation worries that kept interest rates elevated. Investors grew cautious amid President Trump's renewed "America First" policies – including looming tariffs on major trading partners – which clouded the outlook for corporate profits and hit megacap tech shares hard. The "Magnificent Seven" tech giants collectively shed substantial market value during the quarter, dragging down tech-heavy indices. By contrast, value-oriented sectors proved more resilient: companies in energy, industrials, and financials held up relatively well, cushioning the broader market. This stark growth vs. value gap reflected the shift in investor preference toward safer, cash-generating businesses amid higher interest rates.

International Developed Markets

International equities far outpaced North America, helped by favorable sector mix and a weaker U.S. dollar. Developed market stocks outside North America performed strongly. European markets were especially robust, delivering their best quarterly gain in a year.

European equities benefited from local tailwinds such as Germany's new fiscal stimulus (including increased defense spending) and improving inflation trends. These factors, combined with attractive valuations, attracted significant investor inflows into Europe. Notably, Europe's defense and banking stocks rallied sharply amid expectations that higher spending and interest rates would boost those sectors. At the same time, Trump's trade posturing was viewed as more damaging to U.S. multinationals than to European firms, and investors anticipated U.S. growth might slow under the weight of tariffs. In Japan, stock indexes also rose modestly, though gains were restrained as the Bank of Japan inched toward tighter policy, with Japanese 10-year yields hitting their highest level since 2008.

Overall, international developed equities' strong performance – aided by currency gains versus the dollar – helped global stock indices stay roughly flat for the quarter even with the U.S. decline.

Emerging Markets

Emerging market equities posted moderate gains, with significant variation across countries. Asian markets were key drivers: Chinese stocks in particular surged amid optimism about domestic stimulus measures and a boom in local tech innovation (particularly advances in AI). Hong Kong's market also soared. These robust gains reflected improving sentiment toward China's economy and a sense that U.S. tariffs so far were less punitive than feared. Emerging markets also enjoyed support from the weaker U.S. dollar, which eased financial

conditions for countries with dollar-denominated debt.

However, not all EM countries participated equally. Some markets were held back by country-specific challenges and the overhang of global trade tensions. Turkey's stocks struggled amid political turmoil, and some Asian exporters faced uncertainty from Trump's tariff plans. This kept the overall EM advance in check. Still, commodity-exporting nations like Brazil saw asset gains thanks to stronger currencies and rising resource prices. In sum, emerging equities managed a positive quarter, bolstered by China's rebound, but performance was tempered by trade-war jitters and idiosyncratic risks.

Fixed Income

Bond markets worldwide delivered solid positive returns in the first quarter, as global investors pivoted toward safety and as future rate expectations shifted.

Canadian bonds posted positive returns, as the Canadian yield curve bull-steepened slightly – short-term Canadian yields fell on anticipation that global slowing could prompt the Bank of Canada to ease later in the year, while long-term yields were little changed. Credit conditions in Canada stayed healthy, helping corporate bonds perform in line with government issues.

In the U.S., bonds enjoyed robust gains. The bond rally was fueled by a late-quarter decline in Treasury yields amid rising concerns about economic growth. The Federal Reserve, having cut rates significantly in 2024, paused further easing in early 2025 and signaled a wait-and-see stance on inflation. As the quarter progressed, the focus of investors turned from inflation to recession risk, especially with heightened uncertainty from trade conflicts. By quarter-end, the benchmark 10-year U.S. Treasury yield had fallen notably from the start of the year. Short-term yields also dipped slightly. Falling yields translate into rising bond prices, delivering capital gains on top of coupon income.

Global fixed income saw more mixed yield movements but still produced gains, especially for unhedged investors benefitting from currency appreciation. In Europe, bond returns were more muted as yields moved up in several countries – an unusual divergence from the U.S. trend. Germany, for example, faced a significant increase in long-term yields as the government loosened fiscal constraints for defense spending and the European Central Bank remained vigilant on inflation. This rise in yields meant European government bonds saw price declines in local terms. Similarly, Japanese government bonds fell, with Japan's 10-year yield spiking to the highest since 2008 on speculation of Bank of Japan policy tightening. Yet, for a Canadian dollar-based investor holding global bonds, these local losses were offset by currency gains: the euro, yen, and other major currencies strengthened against the Canadian dollar, boosting the translated returns of those foreign bonds.

On the riskier end of the spectrum, high-yield bonds and emerging-market debt also advanced, though slightly less than high-grade bonds. Investors demanded slightly higher risk premia amid the uncertain outlook, which capped high-yield price appreciation.

Nonetheless, steady oil prices and generally robust corporate earnings in cyclical sectors kept default fears low, so high-yield debt still delivered a positive return through its hefty interest carry. Emerging market dollar-denominated bonds likewise had a decent quarter as the weaker dollar eased pressure on EM borrowers; many EM sovereign and corporate bonds gained in price, and some countries (particularly in Latin America) saw their bond spreads tighten modestly as investors hunted for yield.

In summary, fixed income proved its value as a diversifier in Q1 2025: bond prices rose when equity markets stumbled, and total returns were uniformly positive across maturities and regions. This reflects growing investor conviction that interest rates may have peaked for this cycle, with attention shifting to potential rate cuts if growth slows in coming months.

Investment manager overview

The Aviso Investment Management team brings together top investment specialists and analysts, including four registered Portfolio Managers, eight CFA charter holders and more than 60 years of combined industry experience, to provide clients with a comprehensive range of professionally designed and managed financial products and solutions.

Investment philosophy

We adhere to a philosophy that encompasses the following principles:

- 1. Investment decisions are made in the best interests of our clients.
- 2. Investment decisions are made in accordance with the general level of risk appropriate for the specified mandate.
- 3. Investment decisions are made in accordance with defined prudent standards; and
- 4. Investment practices adhere to the principles of quality (or safety) of the investment and overall risk diversification.

Investment process and risk controls

The primary investment objective of the strategy is to generate a steady stream of high-quality income (in Canadian dollars) and to minimize trading cost. This strategy will follow a disciplined and systematic laddered investment strategy and will comprise only of high-quality bond holdings.

Credit Rating – the strategy will be invested in high quality bonds, with a credit rating minimum of S&P/Moody’s/Fitch/DBRS credit rating of A-/A3/A-/A(low). Any of the holdings that are downgraded below this threshold will be sold and replaced with a similar maturing bond with the same intended characteristic.

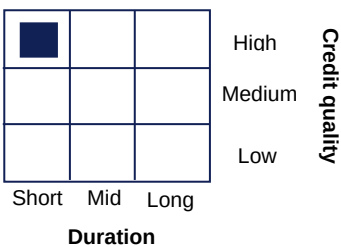
Maturity – the strategy will be constructed on a six-month ladder T + 5 year rolling basis.

Individual Security Holding Limits – the bond ladder is equally divided between all of the holdings; this will result in rolling consistent maturity interval; targeted size is 10% for each security.

Issuer – There are no issuer restrictions within the federal and provincial bond holdings provided that other criteria for ownership have been met; there can only be one corporate issuer per corporate bond holding within the portfolio at a given time.

Term limits – the maximum term to maturity at the time of purchase is 5.5 years; this will be the term of the last laddered issue, while providing a buffer if selection is limited.

Fixed income style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada’s largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada’s largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada’s credit unions and Desjardins



¹ Income: To generate a steady stream of income.

² Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

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